

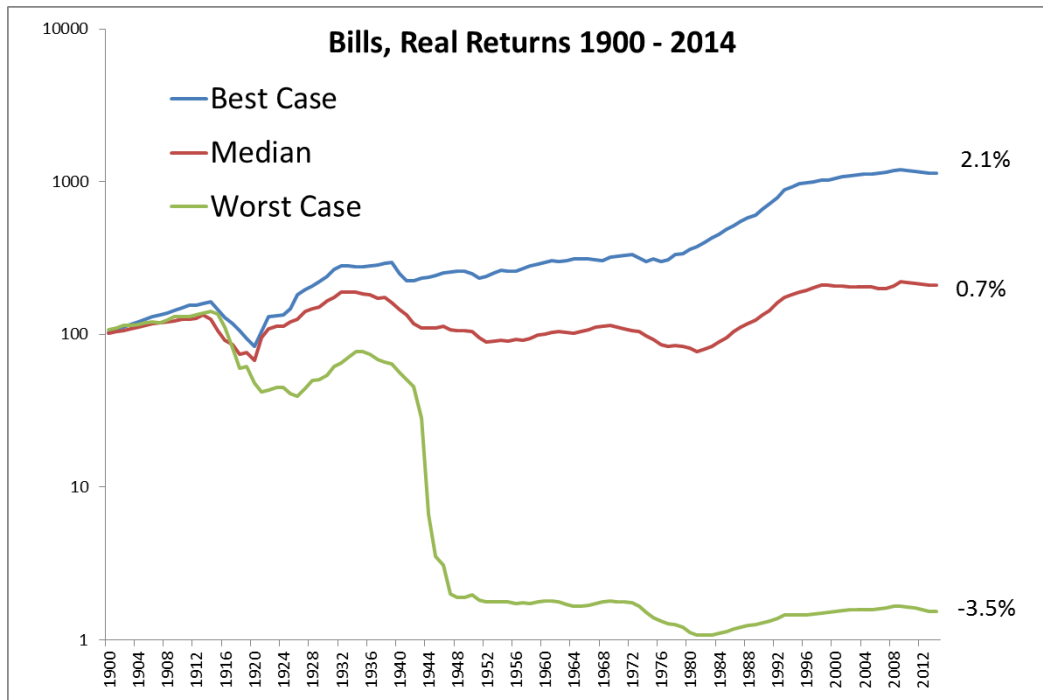
FIGURE 5 –Short-term Government Bills Real Returns, 1900-2014

Best-Case: 2.1% per year

Middle: 0.7%

Worst-Case: -3.5% (Real Worst-Case, Germany -100%)

World: 0.9%



Source: Morningstar, Elroy Dimson, Paul Marsh, Mike Staunton, *Triumph of the Optimists*, Princeton University Press, 2002, Credit Suisse Global Investment Returns Sourcebook 2015

In Figure 6, adding a little duration risk doubles the historical returns of bills for our 10-year bonds, but that is still a pretty small return. You're not going to get rich with 1.7% real returns, and you still have to sit through a 50% drawdown, as we will show later.